

THE AEC TRADING MODEL

A Complete Study Guide

Prepared for Josh

Ascenda Enterprise Capital

How to Use This Guide

This guide is built in three parts, and they build on each other — don't skip ahead.

Part 1 covers the absolute fundamentals. If you've never looked at a trading chart before, start here and don't feel rushed.

Part 2 explains every individual concept that makes up the AEC confluence framework — Fair Value Gaps, Order Blocks, Breaker Blocks, Moving Averages, Volume Profile, Standard Deviation, and Z-Score. Each one is explained on its own, with what it looks like, why it matters, and a simple example.

Part 3 is where it all comes together — how AEC actually combines these tools into one decision-making framework, the way it's used in real trading sessions like the NYSE open.

Take this slow. Confluence trading is about patience and waiting for multiple signals to line up — not rushing to find one excuse to enter a trade.

Part 1 — Foundations

1.1 What Is Actually Happening When You Trade

When you buy or sell a financial instrument — a stock, a futures contract, an option — you're entering an agreement with someone else who's taking the opposite side. If you buy, someone sold to you. If you sell, someone bought from you. Price moves because, at any given moment, there are more people willing to buy aggressively than sell (price goes up) or more people willing to sell aggressively than buy (price goes down).

This sounds obvious, but it's the foundation of everything that follows: every single price level on a chart represents a point where buyers and sellers agreed on value. The tools in Part 2 are all, in one way or another, methods for figuring out where that agreement is likely to happen again.

1.2 Candlesticks — Reading the Basic Building Block

Every chart you'll look at is made of candlesticks. Each one represents a fixed period of time — a minute, an hour, a day — and shows four pieces of information:

- **Open** — the price when that time period started
- **Close** — the price when that time period ended
- **High** — the highest price reached during that period
- **Low** — the lowest price reached during that period

If the close is higher than the open, the candle is usually colored green (or white) — price went up during that period. If the close is lower than the open, it's usually red (or black) — price went down.

The thick part of the candle (the “body”) shows the range between open and close. The thin lines extending above and below (the “wicks” or “shadows”) show the high and low.

Why this matters: a candle with a small body and long wicks tells a very different story than a candle with a big body and almost no wicks. Long wicks mean price moved a lot in one direction, then got rejected and pushed back — that’s a sign of disagreement, of one side overpowering the other within that single time period.

1.3 Market Structure — Highs, Lows, and Trend

Markets move in waves, not straight lines. As price moves, it creates a series of swing highs (local peaks) and swing lows (local valleys).

- **An uptrend** is a series of higher highs and higher lows — each peak is higher than the last, each valley is higher than the last valley.
- **A downtrend** is the opposite — lower highs and lower lows.
- **A range** is when price keeps bouncing between roughly the same high and low without making consistent progress in either direction.

Almost every confluence tool in this guide exists to help answer one of two questions: “is the current trend likely to continue?” or “is this level going to hold?”

1.4 Support and Resistance

Support is a price level where buying pressure has historically stepped in and stopped price from falling further.

Resistance is the opposite — a level where selling pressure has stopped price from rising further.

These levels matter because price has memory, in a sense — not literally, but because many traders are watching the same obvious levels, and so reactions tend to cluster around them. Almost every tool you’ll learn in Part 2 is really just a more precise, more objective way of identifying support and resistance than just eyeballing a chart.

1.5 Why Confluence Matters

Any single signal on a chart can be wrong. A Fair Value Gap by itself might not get respected. A moving average by itself might get blown through. The entire philosophy behind the AEC model — and behind serious technical trading in general — is confluence: looking for the spot where multiple independent tools agree on the same level.

If a Fair Value Gap, an Order Block, and a Standard Deviation band all point to the same price zone, that zone is given far more weight than any single signal alone. This doesn’t make a trade certain — nothing in markets is certain — but it meaningfully improves the odds, and just as importantly, it gives you a clear, defensible reason for why you took a trade, which matters when things go wrong (and they will, sometimes).

Part 2 — The Individual Tools

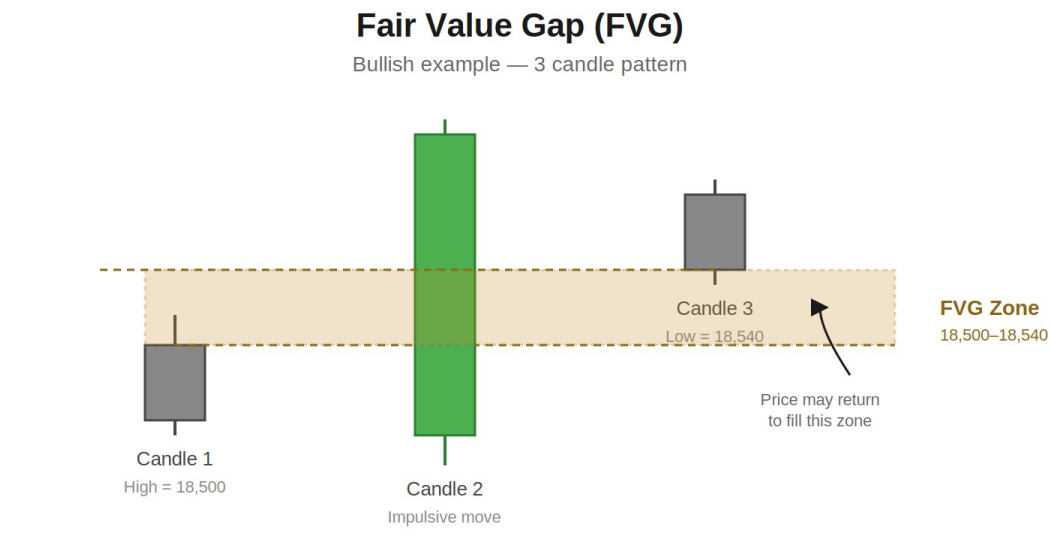
2.1 Fair Value Gaps (FVG)

What it is: A Fair Value Gap is a three-candle pattern where price moves so fast in one direction that it leaves a visible “gap” — a price range that wasn’t traded through normally. Specifically, in a bullish FVG, the high of the first candle is below the low of the third candle, leaving an untouched zone in between. A bearish FVG is the mirror image.

Why it forms: Fast, aggressive moves happen when there's a sudden imbalance — a news release, a large order hitting the market, a breakout. The market moved so quickly that it didn't pause to let buyers and sellers fully negotiate at every price level in between.

Why it matters: Markets have a tendency to want to “fill” these gaps later — to come back and trade through that skipped zone, almost like the market wants to revisit the prices it rushed past. This doesn't always happen, and it doesn't always mean price will reverse there — sometimes the FVG is filled and price continues right through it. But it's a magnet-like zone worth watching.

Simple example: Imagine three consecutive 5-minute candles on NQ futures. Candle 1 has a high of 18,500. Candle 2 rips straight up. Candle 3 has a low of 18,540. The zone between 18,500 and 18,540 was never directly traded — that's your Fair Value Gap. If price comes back down into that zone, traders watch closely to see if it holds as support or gets sliced through.

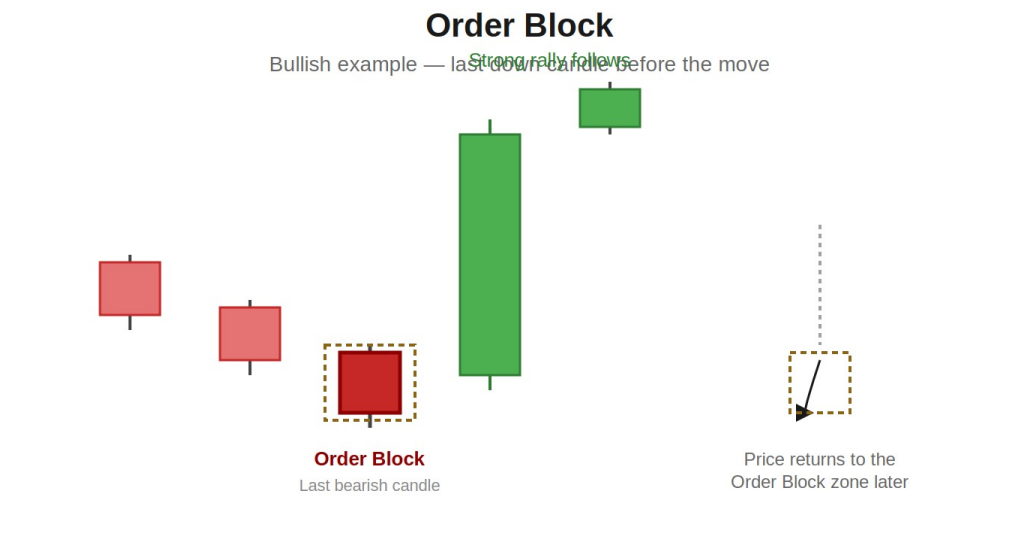


2.2 Order Blocks

What it is: An Order Block is the last candle (or small cluster of candles) in the opposite direction right before a strong, decisive move. In a bullish setup, it's the last bearish candle right before price explodes upward. In a bearish setup, it's the last bullish candle right before price collapses.

Why it matters: The idea behind an Order Block is that large institutional orders were likely placed at that level — enough buying or selling interest that it triggered the sharp move that followed. The theory is that if price returns to that same zone later, those same large orders (or similar ones) may still be sitting there, ready to push price in the same direction again.

Simple example: Price is falling, then suddenly reverses hard and rallies 200 points. The very last red candle before that reversal — the point where sellers gave up and buyers took control — is the bullish Order Block. If price pulls back down to that same zone days later, it's treated as a likely area for buyers to step back in.



2.3 Breaker Blocks

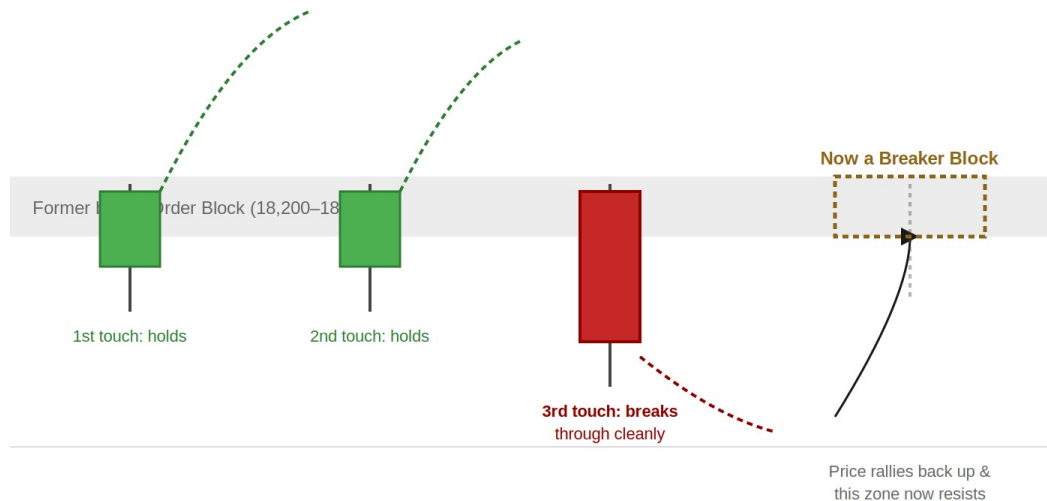
What it is: A Breaker Block is what an Order Block becomes after it fails. If a bullish Order Block is later broken through to the downside (meaning price falls below the zone that was supposed to act as support), that same zone can flip roles — it often starts acting as resistance instead.

Why it matters: This is one of the more advanced concepts because it requires letting go of “this level worked before, so it'll work again” thinking. A Breaker Block represents a shift in who's in control. If buyers defended a zone, lost control, and price broke below it, that tells you something changed — and the same level that previously attracted buyers may now attract sellers, because the traders who got trapped buying there are now looking to get out at breakeven, creating natural selling pressure exactly at that price.

Simple example: A bullish Order Block sits at 18,200–18,220 and works twice, bouncing price higher. The third time price returns to that zone, it doesn't hold — it breaks straight through and keeps falling. That same 18,200–18,220 zone has now become a Breaker Block, and the next time price rallies back up into it, the expectation flips: this is now a likely zone for sellers, not buyers.

Breaker Block

A failed Order Block flips from support to resistance



2.4 Moving Averages

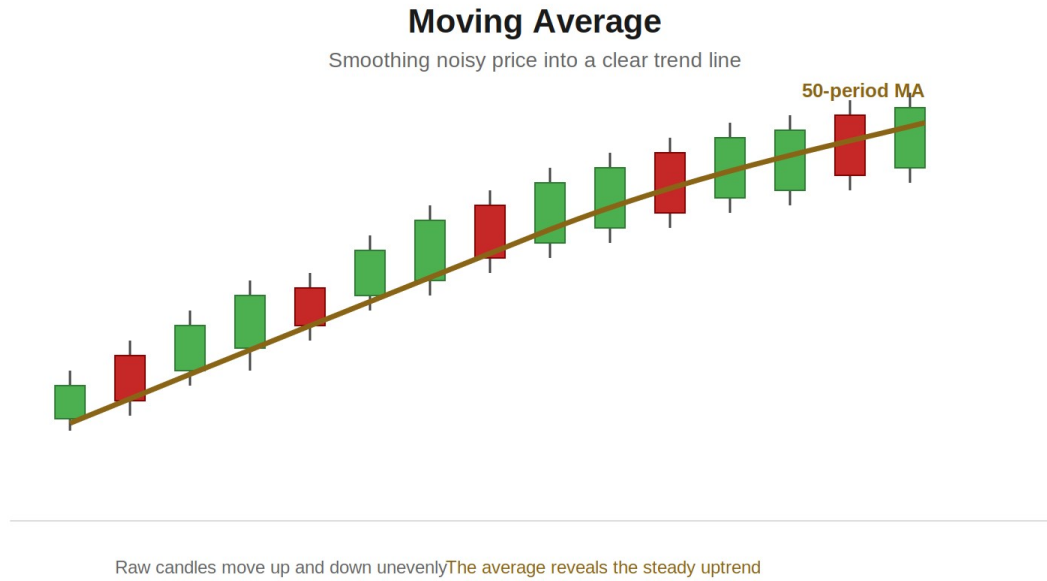
What it is: A moving average smooths out price by averaging it over a set number of periods. A 50-period moving average on an hourly chart, for example, takes the average closing price of the last 50 hours and plots it as a single line that updates with each new candle.

Why it matters: Raw price is noisy — it jumps around constantly. A moving average filters out that noise to reveal the underlying trend direction. When price is consistently above a major moving average, that's generally read as a sign of an uptrend; consistently below, a downtrend. Moving averages are also commonly watched as dynamic support/resistance — many traders treat a rising 50 or 200-period moving average as a level price tends to “respect” on pullbacks within a broader uptrend.

Two common types:

- **Simple Moving Average (SMA)** — a plain average, every period weighted equally.
- **Exponential Moving Average (EMA)** — weights recent price more heavily, so it reacts faster to new information.

Simple example: If NQ futures are trading well above their 200-period daily moving average and that average is sloping upward, that's a broad signal the larger trend is bullish — useful context before zooming into the smaller, more precise tools like FVGs and Order Blocks.



2.5 Volume Profile

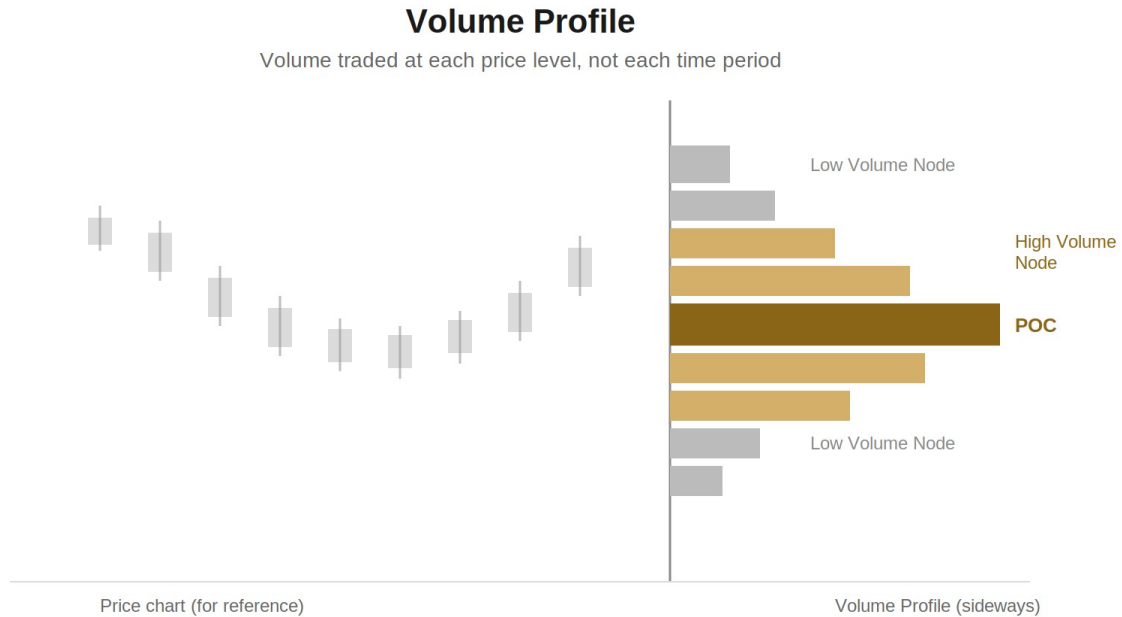
What it is: While a normal volume indicator shows how much trading happened during each time period (each candle), a Volume Profile shows how much trading happened at each price level, regardless of when it happened. It's plotted sideways — a horizontal bar chart layered onto the price chart, where longer bars mean more volume traded at that exact price.

Key concepts within Volume Profile:

- **Point of Control (POC)** — the single price level with the most volume traded. This is often the “fairest” price, the level the market spent the most time agreeing on.
- **High Volume Nodes** — price zones with a lot of trading activity. These tend to act as magnets and as areas where price can move slowly, because there's a lot of competing interest there.
- **Low Volume Nodes** — price zones with very little trading activity. Price tends to move through these quickly, because there wasn't much disagreement or competing interest to slow it down.

Why it matters: Volume Profile tells you where the real “value area” is, as opposed to just where price currently sits. A price that's far from the Point of Control, sitting in a Low Volume Node, is often considered more likely to snap back toward the high-volume area than a price that's already sitting in the thick of heavy trading.

Simple example: If NQ futures have spent the last two weeks building a massive volume cluster around 18,300, but price suddenly spikes up to 18,600 on light volume, that 18,600 level is sitting in a Low Volume Node. Many traders would view that spike with suspicion — it moved fast because there wasn't much resistance, which can also mean it has little support to hold it there.



2.6 Standard Deviation

What it is: Standard Deviation is a statistics concept measuring how spread out a set of numbers is from its average. In trading, it's commonly applied to price to measure how far the current price has moved from its recent average — usually shown as “bands” above and below a moving average.

Why it matters: Price doesn't move in a straight line forever. The further price stretches from its average (the more standard deviations away it gets), the more “stretched” or “extreme” that move is considered, statistically. This doesn't mean price must snap back — markets can stay extended for a long time during a strong trend — but it does mean the odds of at least a temporary pause or pullback increase the further price gets from its mean.

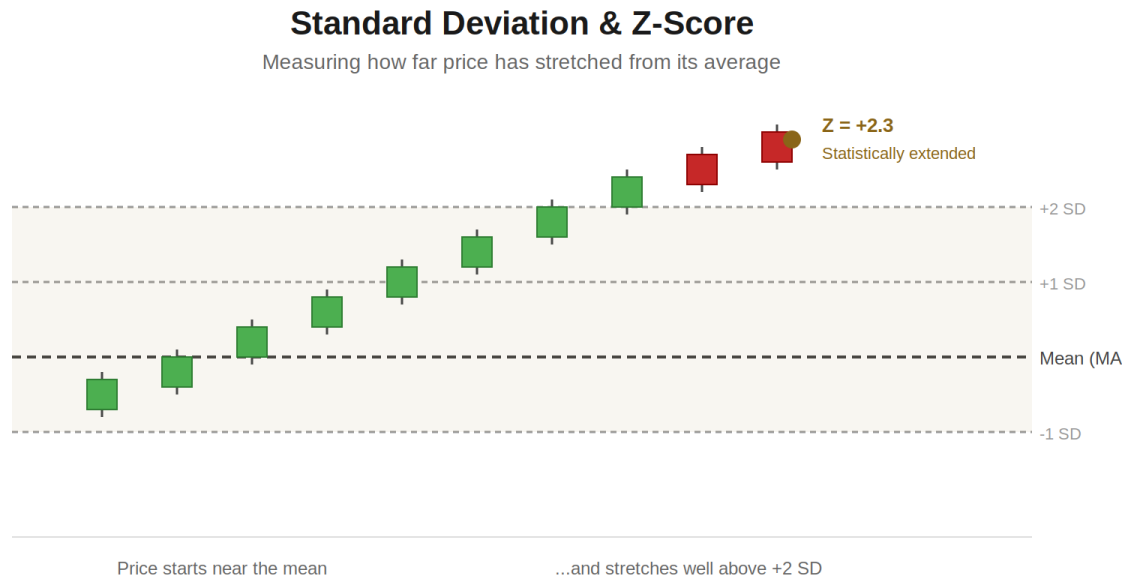
Simple example: If NQ futures' price is sitting two standard deviations above its 20-period moving average, that's a statistically large move relative to recent history. On its own this isn't necessarily a sell signal, but combined with other tools (a Fair Value Gap just above current price, a Low Volume Node above it) it adds weight to the idea that the move might be due for a pause.

2.7 Z-Score

What it is: Z-Score is closely related to Standard Deviation — it's a single number that tells you exactly how many standard deviations a particular data point is from the average. A Z-Score of 0 means price is exactly at the average. A Z-Score of +2 means price is two standard deviations above average. A Z-Score of -2 means two standard deviations below.

Why it matters: While Standard Deviation bands give you a visual zone, Z-Score gives you a precise number you can use as a clear rule. Many traders consider a Z-Score beyond +2 or -2 to represent a statistically “extreme” reading — not common, and historically more likely to revert toward the mean than to continue extending in the same direction.

Simple example: If the intraday distribution of NQ futures price shows a Z-Score of +2.3 right as price runs into a known Order Block and Fair Value Gap from below, that's three separate tools all pointing toward the same conclusion: this is an extended move running into a zone of expected resistance. That's a textbook example of confluence.



Part 3 — The AEC Confluence Model

3.1 The Core Philosophy

No single tool from Part 2 is used in isolation. The AEC model is built around layering these tools to identify high-probability zones — places where multiple independent signals agree — rather than acting on any one signal alone.

The framework reads price action through three primary layers, applied together:

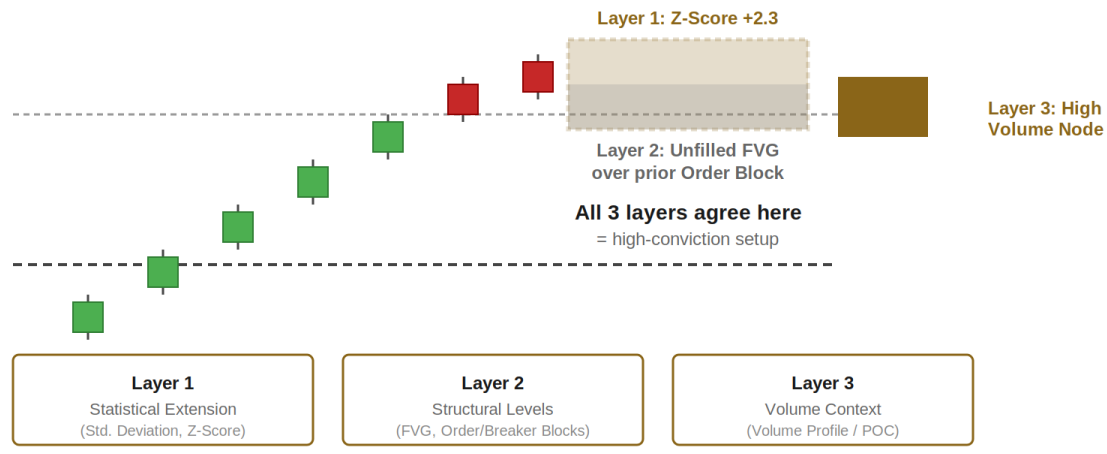
Layer 1 — Statistical Extension (Standard Deviation & Z-Score). Is price currently stretched far from its recent average? This tells you whether a move is “extended” and therefore more likely to pause or reverse, at least temporarily.

Layer 2 — Structural Levels (Fair Value Gaps & Order Blocks / Breaker Blocks). Is there a specific, objectively identifiable price zone nearby that the market has shown it cares about before? This tells you where, specifically, a reaction is more likely to happen — not just “price is extended” in the abstract, but “price is extended and running into this exact zone.”

Layer 3 — Volume Context (Volume Profile). Is the move happening through a Low Volume Node (likely to continue quickly) or into a High Volume Node / Point of Control (likely to slow down or stall)? This adds a final layer of context about how much “resistance” the market itself is likely to put up at that level.

The AEC Confluence Model

Three independent layers agreeing on the same zone



3.2 How the Layers Combine in Practice

The model isn't a checklist where every box must be ticked — it's closer to weighing evidence. The more layers that agree, the higher conviction the setup carries. A trade where all three layers align is treated very differently from a trade where only one layer is present.

High-conviction setup example: Price is two standard deviations above its 20-period moving average (Layer 1: statistically extended), running directly into an unfilled bearish Fair Value Gap that sits exactly on top of a known Order Block from a prior session (Layer 2: a specific, well-defined structural zone), and that zone also happens to sit inside a High Volume Node from the Volume Profile (Layer 3: the market has shown real interest at this price before).

That's three independent tools, derived from completely different types of analysis (statistics, price structure, and traded volume), all pointing to the same conclusion at the same price. This is the kind of setup the AEC model is built to wait for.

Low-conviction setup example: Price touches a Fair Value Gap, but it's not statistically extended (Z-Score near zero) and the zone sits in a Low Volume Node with no real history of interest. This might still be watched, but it would not be treated as a primary trade idea — too much of the supporting evidence is missing.

3.3 Applying This at the NYSE Open

The NYSE open (9:30 AM Eastern) is one of the most heavily analyzed moments in the trading day because overnight positioning, pre-market news, and the arrival of full institutional volume all collide at once. The AEC model treats the open with particular care for exactly this reason — it's a moment where

structure built overnight (Fair Value Gaps, Order Blocks from the prior session) meets a fresh wave of volume that can confirm or invalidate that structure almost immediately.

In practice, this means coming into the open with the key zones already mapped out beforehand — where the unfilled FVGs are, where the relevant Order Blocks sit, what the Volume Profile from the prior sessions looks like — so that when price actually arrives at one of these zones in real time, the reaction can be read quickly and calmly, rather than scrambling to find the levels after the fact.

3.4 Risk and Invalidation

Every setup needs a clear point where the idea is proven wrong. In the AEC model, this is almost always defined by the structural zone itself — if price is expected to react at an Order Block, then a clean break through the other side of that Order Block (not just a brief wick through it, but an actual close beyond it) is generally treated as invalidation of the idea.

This matters as much as finding the setup in the first place. Confluence improves the odds of a trade working, but it does not guarantee it. Every single tool covered in this guide is a probability tool, not a certainty tool. Defining risk before entering — and respecting it — is what allows this framework to be used consistently over time, across the trades that work and the ones that don't.

3.5 Why This Approach, Specifically

Each individual tool in Part 2 has a well-known weakness on its own:

- Fair Value Gaps don't always get filled.
- Order Blocks can fail, becoming Breaker Blocks instead of holding.
- Moving averages lag — by the time price is clearly above or below one, some of the move has already happened.
- Volume Profile is backward-looking — it tells you where volume has traded, not where it will trade next.
- Standard Deviation and Z-Score can stay extended for long stretches during strong trends, so an “extreme” reading is not an automatic reversal signal.

None of these weaknesses disappear when the tools are combined — but the odds of all of them failing at the exact same price level, at the exact same time, are much lower than the odds of any single one failing. That's the entire reasoning behind building a confluence-based model rather than trading off of any one signal in isolation.

Part 4 — Extended Glossary of Common Confluences

The terms in Parts 1–3 are the deep foundation. Beyond those, the wider ICT / Smart Money Concepts (SMC) world uses a large shorthand vocabulary. You'll see these terms constantly in charts, videos, and chat rooms — this glossary gives you a fast, accurate reference so you're never lost on an abbreviation. These are organized by category rather than alphabetically, since that makes it easier to see how groups of related terms fit together.

4.1 Market Structure

Term	Meaning
SW (Swing High)	A local peak in price, where price made a high and then reversed downward. The basic building block of trend structure.
SL (Swing Low)	A local valley in price, where price made a low and then reversed upward. Paired with Swing Highs to define trend.
HH (Higher High)	A swing high that is higher than the previous swing high — a sign of bullish structure.
HL (Higher Low)	A swing low that is higher than the previous swing low — confirms an uptrend alongside Higher Highs.
LH (Lower High)	A swing high that is lower than the previous swing high — a sign of bearish structure.
LL (Lower Low)	A swing low that is lower than the previous swing low — confirms a downtrend alongside Lower Highs.
MS (Market Structure)	The overall pattern of swing highs and lows that defines whether a market is trending up, down, or ranging.
BOS (Break of Structure)	Price breaks through a prior swing high or low in the direction of the existing trend, confirming that trend is continuing.
CHOC (Change of Character)	The first sign that a trend may be reversing — price breaks structure in the opposite direction of the current trend for the first time.
MSS (Market Structure Shift)	A confirmed reversal — a more decisive break than a CHOC, where the broader structure has genuinely flipped direction.
HTF (Higher Time Frame)	A longer-duration chart (e.g. Daily, 4-Hour) used to read the dominant trend and overall bias.
LTF (Lower Time Frame)	A shorter-duration chart (e.g. 5-Minute, 1-Minute) used for precise trade entries within the HTF bias.

4.2 Liquidity Concepts

Term	Meaning
Liq / LQ (Liquidity)	Pools of pending orders (stop-losses, breakout entries) sitting at obvious price levels. Institutions often target these pools before reversing.
EQH (Equal Highs)	Two or more swing highs sitting at nearly the same price — seen as a pool of resting sell-stop liquidity above.
EQL (Equal Lows)	Two or more swing lows sitting at nearly the same price — seen as a pool of resting buy-stop liquidity below.

BSL (Buy-Side Liquidity)	Liquidity resting above current price (typically above old highs), made up of stop-losses from short sellers and breakout buy orders.
SSL (Sell-Side Liquidity)	Liquidity resting below current price (typically below old lows), made up of stop-losses from long buyers and breakout sell orders.
PDH (Previous Day High)	The highest price reached during the prior trading day — a commonly watched liquidity and reference level.
PDL (Previous Day Low)	The lowest price reached during the prior trading day — same idea as PDH, applied to the downside.
PWH / PWL (Previous Week High / Low)	The same concept as PDH/PDL, applied to the prior week's range — used for higher-timeframe context.
DOL (Draw on Liquidity)	The nearest significant liquidity pool that price is statistically “drawn toward” — used to anticipate likely direction.

4.3 Price Zones & Blocks

Term	Meaning
OB (Order Block)	Covered in depth in Part 2 — the last opposing candle before a strong move, marking likely institutional interest.
FVG (Fair Value Gap)	Covered in depth in Part 2 — a 3-candle imbalance left behind by a fast move.
BB (Breaker Block)	Covered in depth in Part 2 — a failed Order Block that flips to the opposite role.
MB (Mitigation Block)	Similar to an Order Block, but formed when Smart Money re-enters a position at a less favorable price to reduce risk on an existing trade, rather than opening a brand new position.
ROB (Reclaimed Order Block)	An older Order Block that price returns to and respects again after a significant amount of time has passed.
PB (Propulsion Block)	The specific candle or zone that marks the true origin of an impulsive price move — closely related to an Order Block.
IFVG (Inversed Fair Value Gap)	An FVG that fails to hold its expected role and flips — similar in concept to how an Order Block becomes a Breaker Block.
BPR (Balanced Price Range)	A zone where a bullish FVG and a bearish FVG overlap closely, seen as an area of strong, balanced institutional interest.
Supply Zone	A price area where significant selling pressure is concentrated — functions similarly to resistance.
Demand Zone	A price area where significant buying pressure is concentrated — functions similarly to support.
POI (Point of Interest)	A general term for any high-probability zone (an OB, FVG, supply/demand zone, etc.) that a trader is watching for a reaction.

PD Array (Premium/Discount Array)	A toolkit of zones (OB, FVG, Breaker Blocks together) used to judge whether current price is trading at a “premium” (expensive, favoring sells) or “discount” (cheap, favoring buys) relative to a recent range.
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4.4 Time, Sessions & Models

Term	Meaning
AMD (Accumulation, Manipulation, Distribution)	Also called the “Power of Three” — a model describing how a trading day often unfolds: price consolidates, fakes out in one direction to grab liquidity, then makes its real move.
PO3 (Power of Three)	Another name for the AMD model above.
KZ (Kill Zone)	A specific, recurring window of time (e.g. the New York open) where institutional volume and volatility are historically highest.
NWOG (New Week Opening Gap)	The price gap between Friday's close and the following Monday's open — treated similarly to a Fair Value Gap.
NDOG (New Day Opening Gap)	The same concept as NWOG, but between one day's close and the next day's open.
IPDA (Interbank Price Delivery Algorithm)	The theoretical underlying process by which institutional liquidity providers are believed to deliver price — a foundational (if abstract) concept behind the entire ICT framework.

4.5 Execution & Risk

Term	Meaning
OF (Order Flow)	The real-time stream of buy and sell orders hitting the market, often observed directly through Level 2 order book data — gives a live read on aggressive buying or selling pressure.
OTE (Optimal Trade Entry)	A specific retracement zone (roughly 62%–79% on a Fibonacci retracement) considered an ideal entry point after a confirmed move.
RR (Risk:Reward Ratio)	The ratio between how much is risked on a trade versus how much profit is targeted — e.g. a 1:3 RR risks \$100 to potentially make \$300.
TP (Take Profit)	The predetermined price level at which a trade is closed to lock in gains.
SL (Stop Loss) — execution context	Note: in an execution context, SL more commonly refers to a Stop Loss order rather than Swing Low — always read this one in context.
BE (Breakeven)	Moving a stop-loss to the entry price once a trade is in profit, so the trade can no longer result in a loss.
DD (Drawdown)	The decline in account value from a recent peak, typically expressed as a percentage — a key risk-management metric.

A note on overlapping abbreviations: a small number of terms (like SL) mean different things depending on context — Swing Low in a structure discussion, Stop Loss in a risk-management discussion. When in doubt, the surrounding sentence will make it clear which is meant.

Summary — Key Terms at a Glance

Term	One-line definition
Fair Value Gap (FVG)	A 3-candle imbalance zone left behind by a fast move, often “filled” later
Order Block	The last opposing candle before a strong move, marking likely institutional interest
Breaker Block	A failed Order Block that has flipped to the opposite role (support becomes resistance, or vice versa)
Moving Average	A smoothed average of price over time, used to read trend direction
Volume Profile	A map of how much volume traded at each price level, not each time period
Point of Control (POC)	The single price level with the most volume traded in a given Volume Profile
Standard Deviation	A measure of how far price has stretched from its recent average
Z-Score	A precise number showing exactly how many standard deviations price is from average

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